

₹9.23 lakh crore on April 22, 2025.

Sharing his views on the sector, Anil R., Senior Research Analyst of financial services company Geojit Investments says, “India’s defence sector is poised for strong growth, with some of the large PSUs like Hindustan Aeronautics, Bharat Electronics, and Bharat Dynamics placed well due to their large order books and strategic roles in defence electronics, missile systems and aircraft manufacturing.” Shares of Hindustan Aeronautics, Bharat Electronics, and Bharat Dynamics advanced 17%, 20% and 29%, respectively, during April 22-May 19.

“Defence electronics is gaining prominence amid the shift toward non-conventional and hybrid warfare. Private players and tech start-ups are also emerging as key contributors. These segments are well-positioned to benefit from technological advancements and policy support,” says Anil R.

REFORMS, POLICY PUSH

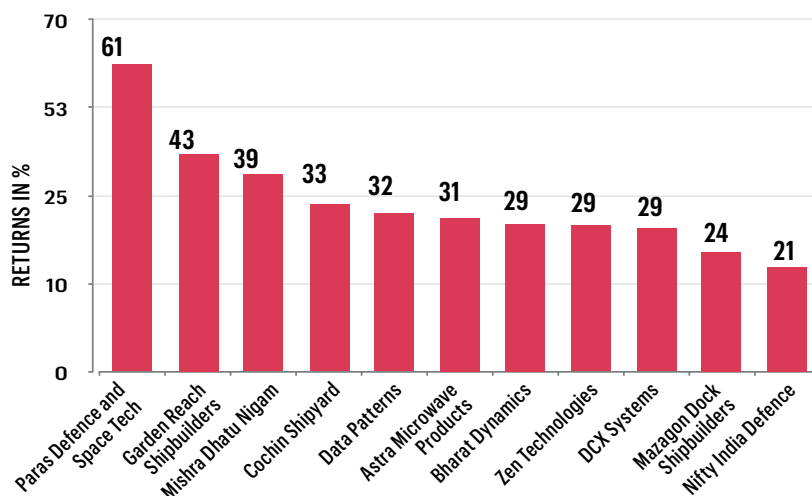
Recent policy reforms, robust budgetary allocations, the ‘Make in India’ initiative, and increased FDI limits have significantly reshaped India’s defence sector. The government has ramped up defence spending with the FY26 Budget rising to ₹6.81 lakh crore, including ₹1.8 lakh crore allocated for capital expenditure. The Budget allocation was around ₹2.94 lakh crore in FY16.

Ravi Singh, SVP-Retail Research of online trading platform Religare Broking says, “On the regulatory front several structural tailwinds support the defence sector’s evolution. All the initiatives position India not only as a large defence consumer, but as an emerging global manufacturing and export hub in the defence-sector.”

The Make in India programme has been instrumental in promoting indigenous manufacturing and reducing reliance on imports. Take

TOP GAINERS

• Defence stocks that outperformed the benchmark index since the Pahalgam attack on April 22

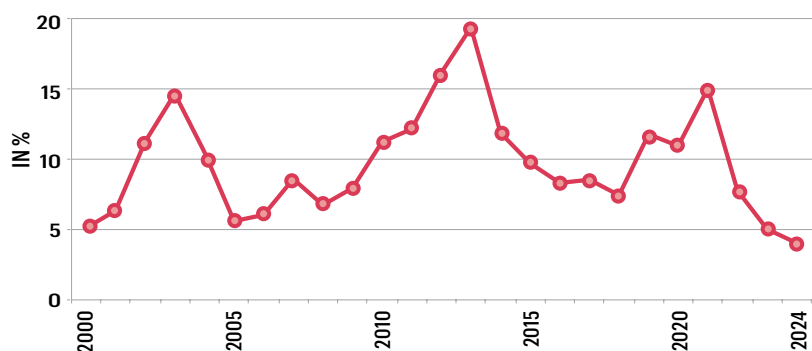


NOTE DATA AS OF MAY 19, 2025

SOURCE ACE EQUITY

SELF RELIANCE

• India’s share in global arms imports is the lowest since 2000



SOURCE SIPRI

this: India’s share in global arms’ imports has substantially declined to 4% in 2024 from nearly 12% in 2014, according to Stockholm International Peace Research Institute (SIPRI). Meanwhile, the govern-

ment in 2022 also imposed a ban on the imports of 107 defence items, providing a major boost to domestic players. On the other hand, India’s defence exports climbed 34 times to ₹23,622 crore in FY25 against ₹686